

Executive Summary

Banking Campaign Optimization & Profit Strategy

Objective

This project analyzes a bank's telemarketing campaign data to improve customer targeting, optimize contact strategy, and maximize profitability under a fixed marketing budget.

Key Findings

- The overall campaign conversion rate is 11.7%, indicating that a large proportion of calls are inefficient.
 - Customer segmentation reveals that students and retirees are the highest-performing groups, with conversion rates exceeding 20–28%.
 - High-balance customers are significantly more likely to subscribe compared to low-balance segments.
 - Campaign performance is highly sensitive to timing, with March and Q4 months (Sep–Dec) delivering the strongest results, while May performs worst.
 - Increasing contact frequency reduces effectiveness — customers contacted more than 3 times show declining conversion rates.
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Operational Insights

- Optimal contact strategy: 1–2 calls per customer
 - Over-contacting leads to customer fatigue and lower ROI
 - Call duration strongly correlates with conversion, indicating higher engagement for longer interactions
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Profitability Analysis

- Historical campaign profit: €831,745
- Mass calling generates high volume but wastes resources on low-probability customers

- A targeted strategy significantly improves efficiency, achieving conversion rates of 60%+ on selected segments
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Strategy Recommendation

To maximize profitability, the bank should adopt a data-driven targeting approach:

Target

- Students and retirees
- High-balance customers
- Customers with previous successful interactions

Avoid

- Low-conversion segments (e.g., blue-collar, heavily contacted customers)

Timing

- Focus campaigns in March and Q4 (Sep–Dec)
- Reduce activity in low-performing months such as May

Execution

- Limit outreach to 1–2 contacts per customer
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Business Impact

- Conversion rate improvement: 11.7% → 20–28%
 - Projected profit increase: ~79%
 - ROI improvement through reduced unnecessary calls and better targeting
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Final Conclusion

Data-driven targeting significantly improves campaign efficiency and profitability, delivering higher ROI while reducing unnecessary marketing costs compared to mass outreach strategies.
